



Australia ranks 13th for the top marginal personal income tax rate, whereas U.S ranks 18th in the world. Police officers work hard and they pay massive amount of tax. These are few tips that can help them to prepare for the tax season. And get back a fare share of tax return.



Basic Tax Deductions

The first option for police officers is to reducing income is to obtain additional tax deductions but only the ones which make sense!

Superannuation

Super is paid by your employer currently at the rate of 9.5% of your gross income.

Police officers can make personal contributions into superannuation and receive a tax deduction. However, note that the maximum you can put into super from 1 July 2017 will be \$25k (including employer contributions). Following the budget from 1 July 2017.

Insurances

Some insurances will be deductible while some are deemed as capital. The general rule with the deductibility of insurance premiums is to consider whether in the event of a payout the proceeds would be assessable.

A quick table as per below:

Income Protection/Sickness and Accident	Deductible
Trauma Not	Deductible
Life Insurance	Not deductible
Total and Permanent Incapacity	Not Deductible
Business expenses insurance	Deductible

Self-Education & Training

The cost of furthering your education and training will be tax deductible provided that it can be related to your current employment activity.

Courses that are provided by a private provider such as your governing body will be fully deductible. Courses subsidized by HECS will generally, not be deductible; but other costs associated with a study such as text books, equipment, parking, and travel will be deductible.

Travel

Police officers need to travel for work or study then this will also be a deductible expense. If there is a combination of work and pleasure then remember to keep a record of your travel, especially receipts for courses or an email confirming you are meeting someone.

Donations

Helping others is also another way to reduce your tax bill. Remember, if you get something in return it may not be deductible. Be careful with charity dinners and golf days ensuring there is a clear separation between the donation and any activity that you may be enjoying.

Salary Sacrificing—What is it?

Salary sacrificing refers to requesting that your employer divert some of your pre-tax income to pay for something.

For example, you can direct your employer to make an additional super contribution over the SGC rate (currently 9.5%) or you have them make a car lease payment on your behalf

Why would you want to do this?

- For those in the top tax bracket (over \$180,000), the tax savings could be as high as 32% of the amount sacrificed for additional superannuation contributions.
- By making salary sacrificing payment on deductible assets such as a car you don't have to pay GST as your employer can claim it.
- Full expense deductions can be claimed for cars with no or low business use. As the FBT on a car can be calculated on a formula basis, this will often result in providing an advantage to the taxpayer.
- For those who don't like paying super; salary sacrificing can decrease the amount that has to be paid into super by decreasing your taxable income on which SGC is applied.

You should note that salary sacrificing generally only works for items where tax deductions are available such as superannuation and motor vehicles. If you sacrifice your home loan payments then you will be no better off.

Negative Gearing

We have all heard a lot of media about negative gearing. Despite the impression that this represents a pot of gold for property owners, it is widely misunderstood. In a nutshell, the key points are:

- ❑ Negative gearing occurs because there is a loss.
- ❑ The maximum tax refund will be 49% of that loss.
- ❑ If your property value does not increase by more than your annual loss you will not get your money back.

While tax is a factor, it should not be the reason for making a property investment (nor any investment). In assessing the appropriateness of geared property to your situation, the focus should be on your longer-term expectations of price growth and rental income.

You should also understand that a tax loss may not equal actual cash flow as building depreciation is a tax deduction but you don't outlay cash for it. Therefore, you can have positive cash flow even though you have a taxable loss position

The important thing here is to remember Negative Gearing generally needs growth to work.

Share Investment and Gearing

Similarly, to negative gearing of property, it is possible to borrow money to purchase shares. Typically, this will be done through margin lending or some other product.

The same principles apply unless your share portfolio is increasing in value; any losses you make will remain just that – a loss.

Whilst there are no depreciation type deductions which can provide a tax benefit, many listed companies will pay dividend income with franking credits attached.

These credits will offset any tax payable on the dividends to the extent of 30%.

Tax Advantaged Investments = Growth for the Future

As outlined on our first page, the advantage of investing in superannuation, shares, and property is that you can obtain tax deductions to decrease your tax payable, while at the same time increasing your asset portfolio. In turn, this is transferring your income production stream away from personal exertion

into asset-based income which, from a future perspective, will help you maintain your level of income when your body may no longer be up to making the money for you.

3

Asset Protection – What Should Police Officers Do?

Being a high-income earner brings its own set of risks in terms of being sued for damages.

Therefore, the preference is always to have assets (particularly those of value) in a name or entity other than the 'at risk' individual. This is usually a spouse or a family/discretionary trust?

The catch with geared investments is that it's usually the high-income earner who needs the tax deductions and needs to have these assets in their personal name to obtain the tax benefit planned.

What to do?

1. Look for other ways to structure to reduce the risk or considerable equity being exposed – this can be done by:

- Keep gearing high on assets held by the 'at risk' person but don't confuse effective asset protection with inflated interest deductions, which are not tax deductible.

- Investigate a trust gifting strategy as significant equity arises in the name of the 'at risk' person

2. Many events can be insured against which greatly reduce the risk of assets being lost.

